Paradiem

The Morning Brief

JULY 1, 2026

Chip Cohort Extended

AI-infrastructure leadership extended into a second session as defensives sold off; Warsh Sintra panel and ISM Manufacturing print anchor the Wednesday tape.

S&P 500 (TUE CLOSE)	NASDAQ (TUE CLOSE)	WTI (USO)	IBIT	FEAR & GREED
$746.77 · ↑0.78%	$736.40 · ↑1.70%	$106.44 · ↓0.60%	$33.29 · ↓2.60%	11 · Extreme Fear (Crypto; CNN fallback · live CNN ~27 Fear per public feed)

SECTION 01

Markets — Chip Cohort Extends the Reversal Into Quarter End: CRDO ↑10.7%, AMD ↑7.7%, MRVL ↑7.3% as Rotation Flips Cleanly Into Cyclicals and TLT Reportedly Absorbs a Rate Bid

TUESDAY'S QUARTER-END CASH TAPE REPORTEDLY EXTENDED THE MONDAY AI-INFRASTRUCTURE BID INTO A SECOND SESSION, WITH THE S&P 500 PROXY CLOSING AT $746.77 (↑0.78%), THE NASDAQ PROXY AT $736.40 (↑1.70%), AND THE DOW PROXY AT $522.39 (↑0.14%) PER THE DATA DROP — THE FCI TOP 5 MOVERS REPORTEDLY CONCENTRATED ENTIRELY IN THE CHIP COMPLEX: CRDO $271.95 (↑10.69%), AMD $580.91 (↑7.68%), MRVL $297.89 (↑7.25%), LRCX $433.33 (↑5.46%), AND TSM $477.57 (↑4.94%), REPORTEDLY COMPLETING THE REVERSAL OF THE JUNE 27 DRAWDOWN REFERENCED IN THE PRIOR BRIEF SERIES

For FCI's framework, the Tuesday tape reportedly confirmed the Monday chip-cohort thesis as a durable rotation rather than a single-session repricing, with CRDO's two-session move reportedly recovering the Friday give-back in its entirety per the data drop. Sector rotation reportedly inverted the Monday risk-on composition into a cyclicals-over-defensives read: Tech (XLK ↑2.76%), Industrials (XLI ↑1.35%), and Materials (XLB ↑0.34%) reportedly led while Real Estate (XLRE ↓1.98%), Staples (XLP ↓1.54%), Utilities (XLU ↓1.48%), and Healthcare (XLV ↓1.29%) reportedly absorbed the rebalance flow. TLT closed at $86.42 (↓1.18% per the data drop), reportedly consistent with a modest back-up in the long end as the risk-on tape absorbed defensive supply. Per Yahoo/Benzinga coverage cited in the data drop headlines, chip-tool stocks reportedly surged as much as 9% on a reported $1.3 trillion Samsung and SK Korea semiconductor capex commitment — a physical-infrastructure catalyst that reportedly extends the AI-industrial thesis into the mechanical-capex read (CAT at $1,064.90, ↑3.07% per the data drop).

S&P 500 (TUE CLOSE)	$746.77 · ↑0.78% · intraday H $748.02 / L $740.89
NASDAQ (TUE CLOSE)	$736.40 · ↑1.70% · second straight session of chip-led gains
RUSSELL 2K	$300.45 · ↑0.49% · small caps participated modestly
UVXY / TLT	$24.89 ↓3.19% / $86.42 ↓1.18% · vol compressed, long end softened
FCI TOP 5 MOVERS	CRDO ↑10.69% · AMD ↑7.68% · MRVL ↑7.25% · LRCX ↑5.46% · TSM ↑4.94%
ES FUTURES (WED AM)	Reportedly ↓~0.13% per Yahoo · modest give-back into Warsh
CARSON'S SPY SUPPORT	$645.80 · active · well-removed from Tue intraday low $740.89

FOR THE INVESTMENT COMMITTEE, THE TUESDAY BOTTOM-DECILE FCI TAPE REPORTEDLY COMPRESSED INTO RATE-SENSITIVE AND CRYPTO-ADJACENT COMPOSITION — SYK ($314.84 ↓4.74%), COIN ($146.19 ↓3.60%), SYF ($76.05 ↓2.96%), ETHA ($11.89 ↓2.86%), AND IBIT ($33.29 ↓2.60%) PER THE DATA DROP — THE DIGITAL SLEEVE REPORTEDLY DIVERGED FROM THE CHIP-COHORT BID AS SENTIMENT FELL BACK TO THE CRYPTO FEAR & GREED AT 11 EVEN AS THE LIVE

CNN STOCK-MARKET READING REPORTEDLY RUNS NEAR 27 (FEAR) PER PUBLIC FEEDS

The Tuesday defensive-cohort reset reportedly carries an asymmetric read for the dividend sleeve heading into Wednesday: the SYK ↓4.74% move to $314.84 reportedly reflected the healthcare-and-defensive-selling composition rather than a name-specific catalyst per the data drop tape, and the CHD ↓1.04%, CL ↓0.78%, ADP ↓0.45%, and NEE ↓1.00% moves reportedly rounded out the rotation. Per Benzinga coverage cited in the data drop, Scotiabank reportedly upgraded NTR to Sector Outperform with a $80 target (NTR closed ↑2.89% to $62.95), Morgan Stanley reportedly maintained a target on DVN, and UBS reportedly maintained Neutral on AEM with a lowered $170 target. Per Reuters coverage cited in the headline run, the overnight session reportedly opened with Asian markets absorbing an AI-wave overlay from the Korea capex disclosure even as Mideast caution reportedly capped gains; per Reuters cited in the headlines, oil reportedly edged higher on the breakdown-in-Iran-US-talks framing as supply concerns crept back in. **Avoid Erosion.**

The Monday-Tuesday chip-cohort reversal reportedly converted the Friday drawdown into a two-session catch-up move rather than a leadership handoff, with defensives reportedly funding the rotation and the Wednesday Warsh-ISM sequence carrying the next decision node. **The physical world matters.**

Geopolitics — Doha Track Reportedly Runs Technical-Only Through Qatari and Omani Mediators as U.S. Warns of Military Response on Any Hormuz Attack

PER CNN, TIME, THE NATIONAL, SUNDAY GUARDIAN, AND AL JAZEERA COVERAGE OF QATARI PRIME MINISTER STATEMENTS, U.S. ENVOYS STEVE WITKOFF AND JARED KUSHNER REPORTEDLY MET WITH QATARI PM SHEIKH MOHAMMED BIN ABDULRAHMAN AL THANI IN DOHA AS NO DIRECT U.S.-IRAN MEETINGS WERE REPORTEDLY SCHEDULED — PER CNN COVERAGE, OMAN REPORTEDLY DELIVERED A STRAIT OF HORMUZ PROPOSAL THROUGH THE MEDIATOR TRACK; PER AL JAZEERA AND TIME COVERAGE OF U.S. STATEMENTS, WASHINGTON REPORTEDLY WARNED THAT ANY IRANIAN ATTACK ON HORMUZ SHIPPING WOULD TRIGGER A U.S. MILITARY RESPONSE UNDER THE CEASEFIRE FRAMEWORK

For FCI's framework, the Tuesday-to-Wednesday cadence reportedly recasts the Doha working-level engagement into a mediator-driven track rather than a direct bilateral, with Qatar and Oman reportedly carrying the shuttle work. That compositional read reportedly compresses the near-term probability of a substantive MOU expansion while preserving the operational stand-down that has held Hormuz vessel traffic consistent since Sunday per prior CNN reporting cited in the prior brief. For FCI's energy sleeve, the Tuesday tape (USO $106.44 ↓0.60%, BNO $40.69 ↓0.39%, VLO $260.44 ↓2.21%, CVX $165.76 ↓1.61%, DVN $41.32 ↓1.60%, OKE $86.94 ↓2.02% per the data drop) reportedly gave back part of the Monday recovery as the mediator-only signaling reportedly reset the near-term geopolitical premium; per Reuters cited in the data drop headlines, oil reportedly edged higher overnight on the reported breakdown-in-Iran-US-talks framing, an overlay that reportedly stays in play through the Wednesday open. Per tradingeconomics coverage referenced in the run-up, Brent reportedly tracked toward a roughly 30% decline for Q2, reportedly among the largest quarterly drawdowns in recent years as Persian Gulf supply resumption dynamics reportedly outweighed the residual security premium. **Avoid Erosion.**

PER REUTERS AND THE DATA DROP HEADLINE RUN, A SOUTH KOREAN CARGO SHIP (NAMU) WAS REPORTEDLY SET TO EXIT THE STRAIT OF HORMUZ FOLLOWING AN ATTACK IN THE GULF — THE ISOLATED INCIDENT REPORTEDLY UNDERSCORES THAT COMMERCIAL TRAFFIC HAS CONTINUED TO TRANSIT EVEN AS THE CEASEFIRE FRAMEWORK REPORTEDLY FACES ITS SECOND FULL WEEK OF STRESS-TESTING, WITH LMT CLOSING TUESDAY AT $509.46 (↑1.47%) AND GD AT $354.24 (↑1.77%) PER THE DATA DROP AS THE DEFENSE SLEEVE REPORTEDLY FIRMED ALONGSIDE THE AI-INFRASTRUCTURE BID

For FCI's defense sleeve, the Tuesday firming in LMT and GD reportedly aligns with the Monday NPR/Reuters coverage cited in the prior brief series of the multiyear procurement pipeline supported by the Israel-Lebanon June 26 framework, with the Tuesday move reportedly consistent with the risk-on cyclicals bid rather than a distinct catalyst per the data drop tape. For the digital sleeve, the Tuesday IBIT $33.29 (↓2.60%) and ETHA $11.89 (↓2.86%) prints reportedly diverged from the equity risk-on tape as the Fear & Greed reading fell back to the Crypto composite at 11 (Extreme Fear) and the live CNN stock-market reading reportedly ran near 27 (Fear) per public feeds — the divergence reportedly warrants monitoring into the Warsh appearance. For the AI-power sleeve, VST closed at $158.63 (↓2.31% per the data drop) reportedly giving back the Monday Cogentrix-disclosure absorption as the utilities-adjacent composition softened; per Yahoo coverage cited in the data drop, Northampton Capital and Olympus Power reportedly reached agreement to acquire New England and New York generating assets, a supply-side power-consolidation overlay that cross-reads to the framework. **The physical world matters.**

DOHA TRACK (WED)	Reportedly technical/mediator-only per Qatari PM via CNN/Time · no direct US-Iran meetings
OMAN HORMUZ PROPOSAL	Reportedly delivered through mediator track per CNN
U.S. WARNING	Reportedly military response on any Hormuz attack per US officials via Al Jazeera/Time
HORMUZ TRAFFIC	Reportedly consistent since Sun; Namu incident reportedly isolated per Reuters
WTI / BRENT (TUE)	USO $106.44 ↓0.60% · BNO $40.69 ↓0.39% · Brent Q2 reportedly ↓~30% per Reuters
VLO · CVX (TUE)	$260.44 (↓2.21%) · $165.76 (↓1.61%) · refiners softened on mediator-only read
LMT · GD (TUE)	$509.46 (↑1.47%) · $354.24 (↑1.77%) · sleeve firmed with cyclicals

SECTION 03

On Our Radar

1. Sintra Wednesday — Warsh on the ECB Policymaker Panel at Approximately 9:00 ET (13:00 GMT), First Major International Stage. Per the ECB's published Forum on Central Banking schedule and reporting from FXStreet, VT Markets, and C-SPAN listings, Fed Chair Kevin Warsh is reportedly scheduled to appear on the Sintra policymaker panel Wednesday July 1 at approximately 9:00 AM ET (13:00 GMT) alongside ECB President Christine Lagarde, BoE Governor Andrew Bailey, and BoC Governor Tiff Macklem, with the theme reportedly centering on innovation, growth, and financial-stability implications of AI. Per FXStreet and VT Markets previews, this reportedly marks Chair Warsh's first international appearance since taking office and since his first FOMC in June; per reporting cited via Chris Rugaber's X post, the panel format reportedly limits scripted delivery, elevating the market-moving potential of any deviation in tone. For FCI's rate-sensitive sleeves, the Tuesday TLT move ($86.42 ↓1.18% per the data drop) reportedly pre-positions the long end for any tone shift, and the overnight ES futures give-back (↓~0.13% per Yahoo) reportedly reflects a defensive lean into the appearance.

2. ISM Manufacturing PMI (June) at 10:00 ET, First Hard-Data Read of the Sintra-NFP Cluster. Per the ISM release calendar cited via PRNewswire and FXMacroData, the June ISM Manufacturing PMI is reportedly scheduled for release Wednesday July 1 at 10:00 AM ET, with May reportedly having printed at 54%. Per the Kiplinger week-ahead preview cited in the prior brief series, the print reportedly sets the manufacturing table ahead of the pulled-forward NFP Thursday. For FCI's industrials sleeve (CAT ↑3.07% Tue to $1,064.90, PCAR ↑0.43%, FAST ↑1.33%, GD ↑1.77% per the data drop), the framework read is that a modest sub-52 print would reportedly reset the industrial-cyclical narrative around the Korea capex disclosure, while an above-54 print would reportedly extend the physical-infrastructure thesis into hard-data confirmation. *Research Reveals Opportunities.*

3. NKE Q4 FY26 Reaction and STZ/PRGS Beats — Greater China ↓12% Reportedly Pressures Shares ~3–3.6% After-Hours per TradingKey. Per Nike's SEC 8-K exhibit and TradingKey coverage, NKE reportedly posted Q4 revenue of $11.0B (↓1% reported), gross margin of 49.2% (reportedly ↑890 bps including an approximately 900-bps IEEPA tariff-recovery benefit), and diluted EPS of $0.72 (reportedly including a $0.52 IEEPA benefit — underlying ex-recovery near $0.20). Per TradingKey, shares reportedly gave back roughly 3–3.6% after-hours despite the headline beat. NKE is not an FCI position but reportedly carries tariff-pass-through signal cross-reading to CHD ($96.88 ↓1.04% Tue per the data drop) and CL ($91.68 ↓0.78% Tue). Per the data drop, STZ reportedly beat with EPS of $3.43 vs. $3.27 est. and PRGS reportedly beat with $1.62 vs. $1.52 est.

4. Chip Cohort Follow-Through — CRDO ↑10.7%, AMD ↑7.7%, MRVL ↑7.3% as Korea Capex Disclosure Reportedly Extends the AI-Physical-Infrastructure Thesis. Per Yahoo, Benzinga, and Fintel coverage cited in the data drop headlines, chip-tool stocks reportedly surged as much as 9% on a reported Samsung and SK $1.3 trillion Korea semiconductor capex commitment; per Fintel, Taiwan Semiconductor (TSM) reportedly saw a price-target increase of 13.92% to approximately $497 from an unspecified analyst. For FCI's AI-infrastructure sleeve, the Tuesday follow-through in LRCX ($433.33 ↑5.46%), TSM ($477.57 ↑4.94%), MRVL ($297.89 ↑7.25%), and NVDA ($200.09 ↑2.63% per the data drop) reportedly confirmed the Monday-flagged cohort reset. Watch the LRCX and CRDO cash-tape open for confirmation that the two-session extension holds through the Wednesday Warsh-ISM window rather than fading into month-open profit-taking. *Think Like an Owner.*

5. Thursday NFP Pulled Forward, JOLTS Two-Year High, Carson's SPY Level Active. Per the Kiplinger week-ahead and NYSE calendar, June nonfarm payrolls is reportedly scheduled for release Thursday July 2 at 8:30 AM ET (pulled forward ahead of the July 3 Independence Day closure), with consensus reportedly near 172,000 per Kiplinger. The Tuesday May JOLTS reportedly printed 7.594M openings per BLS/CNN/FXStreet, reportedly above 7.30M consensus and reportedly a fresh two-year high. Digital-sleeve divergence: IBIT ($33.29 ↓2.60%) and ETHA ($11.89 ↓2.86%) reportedly diverged from the equity risk-on tape per the data drop; per Benzinga, the SEC reportedly opened a review of fund-innovation rules for prediction-market ETFs, cross-reading to HOOD ($100.28 ↓1.52%). Carson's SPY support at $645.80 (set 2026-04-13) reportedly remains active and well-removed from the Tuesday cash tape (intraday low $740.89 per the data drop — no level interaction).